



MINUTES OF THE MEETING OF THE BOARD MEMBERS

August 25, 2026

Michael F. Gerber, Chair of the Federal Retirement Thrift Investment Board, convened a meeting of the Board members on August 25, 2026, at 10:00 a.m., Eastern Daylight Time. The meeting was held at 77 K Street NE, Washington, D.C., and was open to the public via teleconference. In attendance were Dana K. Bilyeu of Oregon, member; Leona M. Bridges of California, member; Stacie Olivares of California, member; Ravindra Deo, Executive Director; Dharmesh Vashee, General Counsel and Secretary; Suzanne Tosini, Chief Operating Officer and Deputy Executive Director; Gisile Goethe, Director, Office of Resource Management; James Courtney, Director, Office of Participant Experience; Trevor Williams, Chief Financial Officer; James Kaplan, Director, Office of External Affairs; Jason Boyd, Chief Information Officer; Brittany Borg, Chief Risk Officer; and Michael Jerue, Chief Investment Officer.

Welcome and Introductions.

Chair Gerber called to order the monthly meeting of the Federal Retirement Thrift Investment Board (FRTIB or Agency) at 10:00 a.m. and welcomed everyone present to the meeting.

1. Approval of the Minutes of the July 28, 2026, Board Meeting.

Chair Gerber entertained a motion for approval of the minutes of the July 28, 2026 Board meeting. The following motion was made, seconded, and adopted without objection:

MOTION: That the minutes of the Board meeting held on July 28, 2026, be approved.

Mr. Deo then gave opening remarks and provided a brief summary of the agenda.

2. Monthly Reports.

a. Participant Activity Report

Mr. Courtney reviewed the monthly Participant Activity Report. See “Participant Activity Report August 2026” (attached). Participants had more than nine million interactions with the Thrift Savings Plan (TSP) during the month of July. Since the launch of the Roth in-plan conversion feature, participants have completed more than 49,000 conversions totaling approximately one billion dollars. Both the participant interactions and the Roth in-plan conversions received satisfaction ratings of nearly 95 percent.

b. Investment Review

Mr. Jerue reviewed the investment performance report. See “July 2026 Investment Program Review” (attached). BlackRock and State Street delivered returns in line with the benchmarks of the F, C, and S Funds. BlackRock lagged the International Index by 0.68 percent due to fair value pricing, while State Street’s performance was in line with the benchmark. He noted that fair value pricing is a standard practice in which the managers adjust the valuation of the international assets to reflect broad market movements that occur after foreign markets have closed. The International Index does not include these adjustments, which explains why fair value pricing is often a source of deviation from the benchmark.

Mr. Jerue reported that for the year-to-date through July 31st, both asset managers were ahead of the International Index. BlackRock outperformed the index by 0.27 percent, while State Street outperformed by 0.29 percent. In both cases, the outperformance was due to tax advantage.

Turning to interfund transfers, Mr. Jerue provided that during the month of July, the G Fund was the primary destination for inflows, while the C and S Funds were the primary sources of outflows. Roughly two percent of participants moved assets between funds during the month of July.

c. Legislative Report

Mr. Kaplan provided the legislative update. Both the House of Representatives and the Senate are in recess for the traditional August district work period. When they return, they are scheduled to meet for a limited time before they recess until after the November 3rd election. During this time, they will focus on passing a continuing resolution to keep the government operating until after Thanksgiving. Mr. Kaplan’s team will continue to review all legislative proposals that could directly impact the Agency or the TSP.

3. Quarterly Metrics Report.

Ms. Borg provided an overview of the Agency’s performance metrics for the third quarter of fiscal year (FY) 2026. See “FY26 Q3 Metrics Report” (attached). The FRTIB met or is on track with all targets for Goals A and B. For Goal C, the FRTIB missed one metric’s target that measures the number of days that the Agency does not receive daily investment confirmations for the F, C, S and I Funds by 2:00 p.m. The target is zero days, but the FRTIB missed this deadline on June 22nd, when State Street experienced IT issues that prevented electronic transmission of trade orders. As a result, the trade order was submitted manually via email, and the FRTIB received the confirmation after 2:00 p.m. The investments were not impacted.

In response to a question from Member Bilyeu, Ms. Borg explained that a new strategic plan with associated measures will take effect beginning in the first

quarter of FY 2027. Mr. Deo added that Ms. Borg will present the new metrics to the Board in the coming months.

4. Internal Audit Update.

Ms. Barbara Holmes, Chief Audit Executive, provided an Internal Audit update. See “Internal Audit Update” (attached). Ms. Holmes reported that the 2026 audit plan remains on schedule. Her team has completed audits of onboarding and offboarding contractors and employees and issued draft reports for both. The team is currently conducting audits of Converge program governance and accounts payable, and it announced the launch of the data lake audit yesterday.

The team also conducted a government purchase card audit. It was a repeat audit from several years ago. There were five findings from the prior audit, four of which were closed. The team also conducted a Converge satisfaction metric audit, which took a subset of the satisfaction metrics and recomputed the results. The recomputed results were very similar to those reported by AFS. They issued no findings.

Ms. Holmes is in the process of developing the agreement for co-sourced audit resources for the next four years and starting to plan for the 2027 audit cycle. In response to a question from Member Olivares, Ms. Holmes stated that she will give the Board a preview of the 2027 audit plan in the coming months.

5. FY 2026 FISMA Report.

Ms. Holmes introduced Alena Schutte, Manager; Edwen Delcid, Senior Manager; and Tony Wang, Partner, of Williams Adley to present the results of the FY 2026 FISMA audit. See “FY26 FISMA Audit Report” (attached). Ms. Schutte explained that the audit’s objectives were to determine the effectiveness of the FRTIB’s information security program from October 1, 2025, through June 30, 2026 and to assess FRTIB’s corrective actions taken in response to the FY25 FISMA audit recommendations.

Based on the audit procedures performed, FRTIB maintained an effective information security program in FY 2026. FRTIB achieved a level five (optimized) maturity rating across all six cybersecurity functions and ten FISMA corresponding domains. Williams Adley also assessed all 25 core metrics at level five. One prior year recommendation remains open. Putting level five in context, Ms. Schutte explained that it does not mean that cybersecurity risks no longer exist. Rather, it reflects a mature program that continues to monitor performance, respond to changing risks, and improve its cybersecurity practices over time.

Ms. Schutte noted that artificial intelligence and quantum resistant technologies are likely to continue to influence the federal cybersecurity environment. In

response to a question from Member Olivares, Mr. Delcid explained that NIST is publishing guidance for both technologies and that OMB recently issued a memorandum regarding the phases and implementation of post quantum cryptography. Mr. Wang further discussed risks of implementing new technologies.

6. Office of the Chief Financial Officer (OCFO) Annual Presentation.

Mr. Williams gave the annual OCFO report. See “Office of the Chief Financial Officer Annual Update” (attached). OCFO manages 255 billion dollars in investments trade activity, 1.6 billion dollars in contract actions, 4.2 billion dollars in tax remittances, 322 million dollars in vendor payments, and extensive audit support across nine external audits.

Mr. Williams highlighted OCFO’s key FY26 accomplishments, including implementing a procurement tracking tool, supporting Agency compliance efforts by reviewing and updating financial policies, procedures, and internal controls to align with federal requirements, and maintaining excellent cash management, financial reporting and internal controls.

He also described each of OCFO’s four divisions. The Acquisition Management Division works closely with stakeholders to ensure acquisitions are completed efficiently and oversees the government purchase card program. The External Audit Management Division manages audits and supports successful audit outcomes. The Financial Management Division is responsible for the agency’s daily cash management activities and the calculation of daily investment orders that are transmitted to the Agency’s asset managers and the Department of the Treasury. The Budget and Agreements Division leads the Agency’s budget formulation and execution efforts and manages interagency agreements.

Looking ahead, OCFO will partner with the Office of Participant Experience to modernize the TSP’s cash and investment system. OCFO is strengthening its audit remediation framework by increasing oversight accountability and communication throughout the corrective action process. OCFO also remains focused on identifying opportunities to improve efficiency while maintaining a high level of service and oversight.

7. FY 2027 Budget Proposal.

Mr. Williams reviewed the FY 2026 budget and presented the budget proposal for FY 2027 through FY 2029. See “FY 2027-2029 Budget Proposal” (attached). In FY 2026, the Agency handled four million participant- and beneficiary-initiated transactions, answered approximately five million inquiries, mailed seven million pieces of communication materials, processed 99 million participant contributions totaling 36 billion dollars, and managed a projected one trillion dollars in average assets for over seven million accounts.

For FY 2027, the Agency's priorities are to implement an integrated organization-wide continuous improvement system; streamline the participant experience; improve IT service delivery to the workforce; enable adoption of AI to improve agency efficiency, decision-making and service delivery; and conduct exercises to prepare for operational deviations to improve plan resilience. Initiatives to streamline the participant experience include increasing digital payments, implementing phishing-resistant multi-factor authentication, continuing targeted outreach, implementing Saver's Match, and improving the process to change installment payments.

In FY 2026, the Board approved the Agency's budgets for FY 2026, FY 2027, and FY 2028. This year, the FY 2027 and FY 2028 proposed budgets were updated to reflect revised cost projections. On behalf of the Agency, Mr. Williams requested Board approval of 534 million dollars for FY 2027, representing a six percent increase over last year's estimate, and 528 million dollars for FY 2028, a five percent increase over last year's estimate. FY 2029's proposed budget estimate is 519 million dollars.

Mr. Williams noted that the expense ratio in FY 2025 was 0.05 percent, or 5 basis points, resulting in an average annual cost of 69 dollars per participant account. From FY 2021 to FY 2025, the Agency executed, on average, 85 percent of its budgeted expenditures. Mr. Williams said, "If the Agency does not need the money, it does not spend the money, and every dollar not spent is a dollar invested for TSP participants".

In response to a question from Member Olivares, Mr. Courtney explained that expenses have increased in part due to recordkeeping system enhancements required to support digital payments and the implementation of the Saver's Match program. In response to a follow-up question from Chair Gerber, Mr. Deo explained that the changes are intended to improve the participant experience and address requirements arising from executive orders or legislative changes. He noted that phishing resistant multi-factor authentication is in response to an outstanding finding during the FY 2025 FISMA audit. Mr. Deo further explained that projects of this nature generally involve two phases of costs: initial development and implementation costs followed by ongoing operating and maintenance expenses. In response to a question from Chair Gerber, Mr. Courtney explained that the digital payments project will save time and effort required to resolve lost checks.

Chair Gerber entertained a motion for approval of the FY 2027 through FY 2029 budget. The following motion was made, seconded, and adopted without objection:

MOTION: That the FY 2027 through FY 2029 budget be approved.

8. Adjourn.

On a vote taken by the Chair, the members closed the meeting at 10:41 a.m. to enter into executive session.

At 12:56 p.m., upon completion of the executive session, the members reconvened the open portion of the meeting.

Whereupon, there being no further business, the following motion was made, seconded, and adopted without objection, and Chair Gerber adjourned the meeting at 12:56 p.m.

MOTION: That this meeting be adjourned.

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VASHEE
Date: 2026.10.07 10:04:55 -04'00'

Dharmesh Vashee
General Counsel and Secretary

Attachments

1. Participant Activity Report August 2026
2. July 2026 Investment Program Review
3. FY26 Q3 Metrics Report
4. Internal Audit Update
5. FY26 FISMA Audit Report
6. Office of the Chief Financial Officer Annual Report
7. FY 2027-2029 Budget Proposal